IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH-II, CHENNAI

CP/502/CAA/2020
and
CP/503/CAA/2020
In
CA No/225 & 226/CAA/2020

Under sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Arrangement (Demerger)
Between

M/s. Raag Technologies and Services Private Limited
(CIN: U74200TN2008PTC067564)
Old No 21/IH, Parvathikalakshetra Colony
Kgeyes Eternity, Besant Nagar
Chennai- 600090

---Petitioner/Demerged Company

And

M/s. Rangan Manufacturing Services Private Limited
(CIN: U36999TN2019PTC132445)
Old No 35/8, No. 33/8, 2nd Floor
BR Complex, C P Ramaswamy Road,
Alwarpet, Chennai- 600018

---Petitioner/ Resulting Company

And

Their Respective Shareholders and Creditors

Coram:

R. SUCHARITHA, MEMBER (JUDICIAL)

B. ANIL KUMAR, MEMBER (TECHNICAL)

For the Petitioner(s): *Shri. S. Sathiyanarayanan, Advocate*
For Shri. P. Sriram, PCS

COMMON ORDER

Per: B. ANIL KUMAR, MEMBER (TECHNICAL)

Order pronounced on: 04.03.2021

Under consideration are Two Company Petitions No.502/CAA/2020 and CP/503/CAA/2020 filed by the above mentioned Petitioner Companies under section 230 -232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Petition in the matter of the Scheme of Arrangement of (Demerger) by virtue of which of transfer and vesting of the Demerged Undertaking of *M/s. Raag Technologies and Services Private Limited* (hereafter refereed as **"Petitioner/Demerged Company"**) into and with *M/s. Rangan Manufacturing Services Private Limited* (hereafter referred as **"Petitioner/Resulting Company"**) as a going concern.

2. The Petitioner/Demerged Company viz., **Raag Technologies and Services Private Limited** was originally incorporated on 01.05.2008 as a Private Limited Company under the provisions of Companies Act, 1956, under the name and style of "Raag Technologies And Services Private Limited" with Registrar of

Companies, Chennai. The Authorised, Issued, Subscribed & Paid up share capital of the Demerged Company as on 31.03.2019 are as under:

Authorised Share Capital	**Amount (in Rs)**
5,000 Equity Shares of Rs. 100/- each	5,00,000
Total	**5,00,000**
Issued, Subscribed and Paid up capital	**Amount (in Rs)**
5,000 Equity Shares of Rs. 100/- each	5,00,000
Total	**5,00,000**

3. The main objects of the Demerged Company are set out in clause III (a) of its Memorandum of Association (in short **"MoA"**). The extract of the main objects, *inter-alia* are to engage in the business of design, develop, render technical know-how and advice, assist in the field of electronics, mechanical and also to render services and know-how to system and management relating to electronics, mechanical and Computer Science.

4. The Petitioner/ Resulting Company viz., M/s. Rangan Manufacturing Services Private Limited was incorporated on 07.11.2019 under the Companies Act, 2013, under the name and style of "Rangan Manufacturing Services Private Limited". The

Authorised, Issued, Subscribed and Paid up share capital of the Resulting Company as on 31.03.2019 are as under:-

Authorised share Capital	**Amount (in Rs)**
1,50,000 equity shares of Rs. 10/- each	15,00,000
Total	15,00,000
Issued, Subscribed and Paid up capital	**Amount (in Rs)**
10,000 equity shares of Rs. 10/- each	1,00,000
Total	1,00,000

5. The main objects of the Resulting Company are set out in clause III (a) of its Memorandum of Association (in short **"MoA"**). The extract of the main objects, *inter-alia* are to engage in the business of manufacturing of auto ancillary products, fixtures, gauges, gigs, plastic sub components, sub assembles and manufacturing all types and varieties of engineering products and its spare parts, components, accessories and other articles thereof required for industrial purpose and sub leasing of manufacturing facilities. The Board of Directors of the Demerged Company and Resulting Company vide their resolution dated **12.11.2019** respectively approved the said scheme of Arrangement (Demerger).

6. This Bench vide its order dated 01.07.2020 passed in CA/225/CAA/2020 ordered the convening, holding and conducting

meeting of the Unsecured Trade Creditors of the Demerged Company on 11.08.2020 and dispensation of convening, holding and conducting meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of demerged company under clause (9) of section 230 of the Act. The Chairman has duly convened and held the meeting of the Unsecured Trade Creditors of the Demerged Company and filed the result of meeting before this bench. There are 119 (one hundred and nineteen) Unsecured Trade Creditors as on 30.11.2019. We find from the Chairman's Report filed that the Demerged Company has duly conducted the meeting of Unsecured Trade Creditors as ordered by this Tribunal on 11.08.2020 with Shri. Raghavan Narasimhan as the Chairman. Out of the Total 119 Unsecured Trade Creditors, 39 (thirty nine)Unsecured Trade Creditors representing 76.63 % in value of total unsecured trade creditors have attended the meeting and that all the unsecured trade creditors voted in favour of the scheme of arrangement and approved the scheme. In respect to the CA/226/CAA/2020 it was ordered for dispensation of convening, holding and conducting meetings of the Equity Shareholders of the Resulting Company. The

Applicant Companies have complied with all the orders passed by this Bench.

7. On perusal of the rationale of the Scheme of Arrangement (Demerger), the Board of Directors of the Demerged Company and Resulting Company have envisaged that the demerger of Manufacturing division of the demerged company into the Resulting company *inter-alia* have the following benefits:

i. The demerger will enable the Demerged Company and Resulting Company to focus and enhance its remaining business operations by streamlining operations and cutting costs and consequently ensuring better and more efficient management control.

ii. The demerger would provide synergistic linkages besides economies in costs and other benefits resulting from the economies of scale, by combining the similar line of businesses and operations of Manufacturing Division of the Demerged Company with the Resulting Company and thus contribute to the profitability for the Resulting Company

by rationalisation of management and administrative structure.

iii. The demerger would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the financial resources, managerial, technical and marketing expertise of the Manufacturing division of the Demerged Company and the Resulting Company. The demerger will enable the Manufacturing Division of the Demerged Company and the Resulting Company to productively utilize their resources and achieve cost and operational efficiencies.

8. The Regional Director, Southern Region (In short, '**RD**') in its Report Affidavit (for brevity, '**Report**') dated 10.09.2020 submitted as per the report of ROC, Chennai the Demerged Company has filed its statutory returns upto 31.03.2019. ROC, Chennai has further stated that there is no prosecution/ complaint/inspection or investigation is pending against both the Companies. As per Clause 6 of Part-II of the scheme Resulting Company has provided for protection of the interest of all the employees of the Demerged

Undertaking. Further, there is no objection raised by the RD to the Scheme of Arrangement.

9. Further the Statutory Auditor has certified that the accounting treatment as mentioned in the Scheme of Arrangement (Demerger) is in compliance with Section 133 of the Companies Act, 2013. In short, there is no apprehension that any of the creditors would lose or be prejudiced if the proposed scheme is sanctioned. The said Scheme of Arrangement will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. **The Appointed date of the said Scheme is 7th November, 2019.**

10. The scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230-232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The Scheme of Arrangement (Demerger) between the Demerged Company and the Resulting Company was duly approved by the shareholders of respective

companies. Taking into consideration all the above, the Company Petitions are allowed and the Scheme of Arrangement (Demerger) annexed with the petition is hereby sanctioned which shall be binding on all the members, creditors and shareholders.

11. While approving the scheme as above, we further clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

12. The Company to the said Scheme or other person interested, shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Company to file with the Registrar of Companies the certified copy of this Order within 30 days of the receipt of the order.

13. The Order of sanction to this Scheme shall be prepared by the Registry as per the format provided under the Companies

(Compromises, Arrangements and Amalgamations) Rules, 2016 as has been notified on 14th December, 2016.

13. Accordingly, the Scheme annexed with the petitions stands sanctioned and CP/502/CAA/2020 and CP/503/CAA/2020 stands **disposed of.**

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(ANIL KUMAR B)
MEMBER (TECHNICAL)

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(R. SUCHARITHA)
MEMBER (JUDICIAL)

TJS